IN THE NATIONAL COMPANY LAW TRIBUNAL: CHANDIGARH
(*through* Hybrid Mode)
COURT-I

Item No. 104

CP (CAA) No. 14/Chd/Pb/2023
(2nd Motion)

IN THE MATTER OF:

Akm Real Estate Developers Private Limited …Transferor Company

Under Section: 230-232, CA 2013

Order delivered on 17.05.2024

CORAM:

SH. L. N. GUPTA
HON'BLE MEMBER (T)

SH. HARNAM SINGH THAKUR
HON'BLE MEMBER (J)

PRESENT:

For the Petitioner: Mr. Rahul Jogi, Advocate
Ms. Deepali Garg, Advocate
For the RD: Mr. Vineet Khattri, Company Prosecutor
For the Income Tax Department: Mr. Yogesh Putney, Senior Standing Counsel
Mrs. Urvashi Dhugga, Senior Standing Counsel
Ms. Manisha, Advocate
For the OL: Mr. Edward Augustine, Advocate

ORDER

In pursuance of last order dated 05.04.2024, compliance affidavit has been filed by the Ld. Counsel for the Petitioner vide Diary No. 01045/11 dated 01.05.2024. The same is taken on record. Report has been filed by the Income Tax Department with reference to Transferor Company No. 1 vide Diary No. 01045/12 dated 16.05.2024. The same is also taken on record. Ld. Senior Counsel appearing on behalf of the Income Tax Department submits that Transferor Company No. 1 is continuously having losses from 2018-19 to 2023-24. It is indicated in Para 4 of their report that if the schemes are in any way acting as a device for tax avoidance, then the Department may kindly be granted liberty to initiate the appropriate proceedings

as per law. He further submits that Section 72(A) of the Income Tax Act, 1961 allows “taxpayer to carry forward and set off the business loss incurred in a previous year against the profits earned in subsequent years”.

Mrs. Urvashi Dhugga, Senior Standing Counsel for the Income Tax Department on behalf of Transferor Company No. 2 and Transferee Company submits that she needs time to file the reply. Let the same be filed within two weeks with a copy in advance to the counsel opposite. It will be the last opportunity. As regards the report of RD, Ld. Company Prosecutor appearing on behalf of RD submits that replies filed by the petitioner companies are found satisfactory and there are no further objections to the scheme. Ld. Counsel for OL submits that they have also filed the report pointing out certain observations as mentioned in the audit report. He further submits that they do not have any objection to the scheme. List on 12.07.2024.

Sd/- Sd/-

(L. N. GUPTA)
MEMBER (T)

(HARNAM SINGH THAKUR)
MEMBER (J)

Preeti